

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate)
Transmission System) RM26-4-000

**INITIAL COMMENTS OF
THE PUBLIC SERVICE COMMISSION OF THE STATE OF MISSOURI**

On October 23, 2025, pursuant to Section 403 of the Department of Energy (DOE) Organization Act, the Secretary of Energy (Secretary) issued a directive to the Federal Energy Regulatory Commission (FERC) to initiate an advanced notice of proposed rulemaking (ANOPR) for FERC’s consideration and final action. The ANOPR focuses on reforms to the interconnection processes for large loads connecting to the transmission system. FERC subsequently issued a Notice Inviting Comments on October 27, 2025.

I. Service and Communication

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II. Background

The Public Service Commission of the State of Missouri (Missouri PSC) is a “state commission” as defined in Section 1.101(k) of the Commission’s Rules of General Applicability.¹ Missouri law authorizes the Missouri PSC to regulate rates, charges and terms of service for the sale and distribution of electricity by public utilities to consumers in the state.² Missouri has retained a vertically integrated regulatory structure.

The Missouri PSC has approved electrical corporations under its jurisdiction to be members of two Regional Transmission Organizations (RTOs): the Midcontinent Independent System Operator, Inc. (MISO) and the Southwest Power Pool, Inc. (SPP). Ameren Missouri, a MISO member, serves St. Louis and portions of eastern, central, and northwestern Missouri. Evergy Missouri Metro and Evergy Missouri West, serving Kansas City and western Missouri, and The Empire District Electric Co. d/b/a Liberty, serving southwest Missouri, are members of SPP. The Missouri PSC appreciates the opportunity to comment on the ANOPR.³

III. Summary of Comments

The Missouri PSC appreciates the Secretary’s interest in providing large loads the opportunity for timely, orderly and non-discriminatory connection to the transmission system. Large loads present an unprecedented challenge for the electric power industry and regulators. The Missouri PSC agrees with the Secretary that interconnecting and serving these new large loads cannot interfere with affordable, reliable and secure electric service for all Americans and domestic industries.

¹ 18 C.F.R. 1.101(k).

² Section 386.250 Revised Statutes of Missouri (RSMo)(2016).

³ The Missouri PSC has also endorsed the initial comments of the Organization of MISO States, Inc. (OMS) in this docket.

The State of Missouri has acted on these priorities, along with MISO and SPP. The ANOPR raises complex legal, policy and technical questions that warrant a careful and flexible approach to avoid unintended consequences. FERC should narrowly tailor its final rule in conformity with legal precedent and record evidence. FERC should exercise its rulemaking authority under the cooperative framework of the Federal Power Act.

IV. Comments of the Missouri PSC

A. FERC should draw on existing approaches as it crafts a final rule.

Large loads must be able to interconnect to the electric system in a timely, orderly and non-discriminatory manner. At the same time, state and federal regulators must work together to ensure that providing the extraordinary amounts of power these customers demand does not interfere with the right of all customers to safe and adequate electric service at just and reasonable rates. Innovation in artificial intelligence (AI) technology and the next generation of American manufacturing will require substantial investment, with implications for the public interest at the national, state and local levels. States and RTOs are already addressing these new challenges.

Beginning in 2024, the Missouri PSC hosted a series of energy summits called PowerMO, bringing together state and federal regulators and policymakers to confront the challenges of load growth, resource adequacy, and affordability. In August 2025, Missouri Senate Bill 4 took effect. Among other provisions, the legislation requires electric utilities in the state to develop retail tariffs for large loads that protect other customers from unjust and unreasonable rates.⁴ The Missouri PSC is currently evaluating utility tariff proposals under this

⁴ Section 393.130.7, RSMo (2016, Supp. 2025).

new legislation. The law also strengthened Missouri’s integrated resource planning (IRP) requirements and procedures to meet the state’s evolving resource adequacy needs.⁵

In October 2025, SPP filed tariff revisions to address the interconnection of High Impact Large Loads (HILLs) and the interconnection of generation resources specifically serving those large loads.⁶ SPP’s proposal includes processes to study the impact of large loads and maintain the reliable operation of the transmission system.⁷ In MISO, the Expedited Project Review (EPR) process allows the RTO to advance urgent transmission projects in order to accommodate large load additions.⁸ Both the SPP and MISO procedures compliment retail tariffs enacted under state authority, leaving no gaps between state and federal regulation of large load interconnections.

FERC’s final rule should draw from existing RTO approaches. Both MISO and SPP developed their large load interconnection provisions through stakeholder engagement, and thus they provide examples of effective approaches that FERC should incorporate into its final rule. The MISO and SPP provisions also properly aim at the interstate transmission system that the Federal Power Act (FPA) places within federal jurisdiction, and neither MISO nor SPP improperly dictate the terms and conditions of retail sales to end-use customers. SPP specifically states that nothing in the HILL proposal “should be construed to preempt any state law, including but not limited to, state laws pertaining to the retail sales of electricity, retail wheeling of electricity, generation siting, load and generation co-ownership, or load and generation operation.”⁹

⁵ Section 393.1900, RSMo. (Supp. 2025).

⁶ *Southwest Power Pool, Inc.*, FERC Docket No. ER26-247.

⁷ *Id.* Transmittal Letter pg. 4.

⁸ MISO MTEP25 Report, pg. 4 (<https://cdn.misoenergy.org/MTEP25%20Chapter%201%20-%20Transmission%20Planning%20Overview720401.pdf?v=20250929111625>).

⁹ ER26-247, Proposed Tariff, Attachment BA § 3.

Combining and enhancing elements of the SPP and MISO approaches to compliment state jurisdiction can provide mutual benefits. FERC could create a uniform approach that meets the Secretary's goal of timely, orderly and non-discriminatory transmission interconnection procedures while allowing states to innovate and compete within their jurisdictions. Standardized study procedures and a defined interconnection queue could reduce regulatory burden and uncertainty for large load customers, protect the safety and reliability of the transmission system, uphold cost causation principles,¹⁰ protect customers from stranded costs, and mitigate the risks of speculative projects that complicate state-level load forecasting and resource planning. A final rule that preserves state and local authority can help reduce the time and cost of siting new facilities. FERC should draw from existing stakeholder-endorsed approaches to produce a final rule that provides regional flexibility and survives legal scrutiny.

B. FERC should strive to complement, not conflict with, state jurisdiction.

The ANOPR relies on Section 403 of the Department of Energy Organization Act, which authorizes the Secretary to propose rules, regulations, and statements of policy of general applicability with respect to any function within FERC's jurisdiction.¹¹ The Administrative Procedure Act requires any such rule to be within FERC's statutory jurisdiction and supported by substantial evidence on the whole record.¹² The ANOPR raises questions of fact and law that FERC will need to clearly address.

¹⁰ FERC is not authorized to approve a pricing scheme that requires customers to pay for facilities from which they derive no benefits, or benefits that are trivial in relation to the costs sought to be applied. *Illinois Commerce Commission v. FERC*, 576 F.3d 470, 476 (7th Cir. 2009).

¹¹ 42 U.S.C. § 7173(a).

¹² 5 U.S.C. § 706(2).

1. FERC’s final rule should respect the Federal Power Act’s bright line.

The Federal Power Act (FPA) defines FERC’s regulatory jurisdiction.¹³ Prior to the FPA, states regulated all aspects of the electric industry under their sovereign police powers.¹⁴ In 1935, Congress in the FPA carved out two issues for federal oversight: the transmission of electric energy in interstate commerce, and the sale of electric energy at wholesale in interstate commerce, including all rules and practices affecting the prices for those interstate transactions.¹⁵ FERC’s authority is limited to such practices that “*directly affect*” those rates and charges within its jurisdiction.¹⁶

The FPA also limits FERC’s jurisdiction by preserving a “zone of *exclusive state jurisdiction*,”¹⁷ including retail sales of electricity (i.e., sales directly to users), along with “facilities used for the generation of electric energy,” and “facilities used in local distribution or for transmission of electric energy in intrastate commerce, or over facilities for the transmission of electric energy consumed wholly by the transmitter.”¹⁸ State authority over resource planning, utilities’ long-term demand forecasts, and evaluation of supply- and demand-side resources to meet that demand also flows from the powers the FPA reserves to the states.¹⁹ Proper FERC regulation may have some effect on retail sales without violating the FPA.²⁰ But FERC may not directly regulate matters reserved to the states; nor may FERC’s regulation improperly “aim at”

¹³ *F.E.R.C. v. Electric Power Supply Ass’n*, 577 U.S. 260, 264 (2016) (*EPSA*).

¹⁴ *Id.* at 265-66.

¹⁵ *Id.* at 266.

¹⁶ *Id.* at 278 (emphasis original).

¹⁷ *Id.* at 266 (emphasis added).

¹⁸ 16 U.S.C. § 824(b).

¹⁹ *Resolution Urging the Federal Energy Regulatory Commission to Preserve and Affirm State Retail Regulatory Jurisdiction in its Large Load Interconnection Proceedings*, National Association of Regulatory Utility Commissioners Resolution EL-1 (Nov. 11, 2025), pg. 6, citing FPA Section 201(b).

²⁰ *EPSA*, 577 U.S. at 281.

matters within state jurisdiction.²¹ The FPA’s jurisdictional divide was drawn “with meticulous regard” for state power, “not to handicap or dilute it in any way.”²²

While the FPA marks a “bright line” between state and federal jurisdiction, the U.S. Supreme Court has observed that these spheres are not “hermetically sealed.”²³ FERC has recognized that important questions about how to regulate the modern electric system emerge at the “confluence of State and Federal jurisdiction,”²⁴ and the agency itself has found it difficult to apply the statutory text to the complicated facts of the electricity industry.²⁵ Nevertheless, the Supreme Court has continued to apply the FPA’s bright line to these new issues.²⁶ Courts will not defer to FERC’s legal interpretations.²⁷ FERC must point to “clear congressional authorization” for the power it claims to exercise.²⁸

The Secretary has asked FERC to assert jurisdiction over the interconnection of large loads to the transmission system, where it has not done so historically.²⁹ These interconnections implicate both FERC’s jurisdiction over interstate transmission and state authority over matters such as the terms and conditions of retail sales of electricity and the physical construction and siting of electric generating facilities. Therefore the ANOPR raises more vexing questions at the jurisdictional confluence that FERC must clearly resolve. The dissent by Justice Thomas cited in the ANOPR³⁰ criticizes FERC for failing to explain its decision-making, but the dissent itself

²¹ *Long Live the Federal Power Act’s Bright Line*, 134 Harvard L. Rev. 1360, 1407-08 (2021), citing *EPSA* and *Oneok, Inc. v. Learjet, Inc.*, 575 U.S. 373, 385 (2015).

²² *PJM Interconnection, L.L.C. et al.*, 190 FERC ¶ 61,115 (2025), P. 67, citing *Oneok, Inc.*

²³ *EPSA*, 577 U.S. at 281.

²⁴ 134 Harvard L. Rev. at 1367.

²⁵ *New York v. FERC*, 535 U.S. 1, 28-42 (2002), describing FERC’s uncertain analysis of its authority over the transmission component of bundled retail sales.

²⁶ 134 Harvard L. Rev. at 1367.

²⁷ *Loper Bright Enterprises v. Raimondo*, 603 U.S. 369, 413 (2024).

²⁸ *West Virginia v. Environmental Protection Agency*, 597 U.S. 697, 723 (2022).

²⁹ FERC Docket No. RM26-4, *Secretary of Energy Letter re the Interconnection of Large Loads* (October 27, 2025).

³⁰ ANOPR P. 5, citing *New York*, 535 U.S. at 30-42.

does not chart a clear path between FERC's power to regulate interstate transmission and states' exclusive authority.³¹ FERC's final rule, in contrast, should clearly demonstrate how it avoids crossing the FPA's bright line.

2. FERC must explain the legal and evidentiary bases for its final rule and a rational explanation of its decisions.

The ANOPR proposes four legal justifications for FERC's jurisdiction over large load interconnections. Each theory raises questions that FERC will need to address. In addition to an explanation of its statutory authority, FERC must cite substantial evidence to support any proposed rule.³² Courts will examine the whole record to evaluate whether FERC addressed the relevant considerations and articulated a satisfactory explanation for its action, "including a rational connection between the facts found and the choice made."³³ FERC should avoid needless legal infirmities that will only delay reform.

First, the ANOPR analogizes large load interconnection to FERC rules on open-access transmission service and generation interconnection.³⁴ But the ANOPR does not explain the comparison. FERC crafted its orders on open-access transmission service and generator interconnection to address undue discrimination by incumbent utilities against competing generation. FERC developed evidentiary records and found this discrimination undermined the wholesale energy markets that FERC relied upon to ensure just and reasonable rates. The

³¹ *New York*, 535 U.S. at 42. "I would not, as petitioner Enron requests, compel FERC to apply the OATT to bundled retail transactions. I would... require FERC on remand to engage in reasoned decisionmaking to determine whether there is undue discrimination with respect to transmission associated with retail bundled sales, and if so, what remedy is appropriate."

³² *New Jersey Bd. Of Public Utilities v. FERC*, 744 F.3d 74, 94 (3rd Cir. 2014). To assist FERC in compiling a record in this matter, the Missouri PSC recommends FERC consolidate the record compiled in FERC Docket Nos. EL25-49, AD24-11, and EL25-20.

³³ *Long Island Power Auth. v. FERC*, 27 F.4th 705, 712 (D.C. Cir. 2022).

³⁴ ANOPR PPs 3-11.

ANOPR does not explain whether, or how, current state and RTO interconnection practices are discriminatory or unjust or unreasonable. Unlike generation, load represents an opportunity for a utility to increase revenue, not competition.

Next, the ANOPR asserts that interconnection of large loads to the transmission system fall under a practice directly affecting Commission-jurisdictional wholesale electricity rates.³⁵ Again, however, the ANOPR does not elaborate on how or under what circumstances large load interconnections directly affect wholesale rates, or how existing procedures are producing rates that are unjust or unreasonable. FERC's jurisdiction here is limited to “rules or practices that *directly* affect the wholesale rate” so that FERC's jurisdiction does not “assume near-infinite breadth.”³⁶ Again, FERC's final rule must make clear, rational connections between its legal authority, record evidence, and its regulatory decisions.

3. FERC should not impinge on State authority.

As a third justification, the ANOPR claims it does not impinge on state retail authority.³⁷ Under the FPA, it cannot do so. FERC recently addressed its jurisdiction relevant to large loads and co-location arrangements. It should keep those principles in mind as it develops a final rule.

In *PJM Interconnection L.L.C. et al.*, FERC clarified its jurisdiction over general matters concerning large load co-location arrangements.³⁸ It explained that states retain exclusive jurisdiction over retail sales, including the rate designs that determine how the costs of wholesale sales and transmission assigned to a wholesale customer are allocated among that wholesale customers' retail customers. States retain authority to regulate which entities may make retail

³⁵ ANOPR P 14.

³⁶ *EPSA*, 577 U.S. at 278 (emphasis original).

³⁷ ANOPR P 15.

³⁸ 190 FERC at PP 66-72.

sales, along with the rates, terms and conditions of those sales. These principles are true regardless of where the load connects (i.e., to the distribution system, transmission system, or the generator itself). States also have authority to decide which generating resources are sited and allowed to operate to serve co-located load.³⁹

Just last month, FERC affirmed these principles in rejecting a proposed tariff.⁴⁰ A wholesale generation and transmission cooperative (Tri-State), proposed a large load tariff and *pro forma* load agreement. FERC found that certain aspects of Tri-State’s proposal appeared to “present an impermissible intrusion on retail rate regulation and thus are not subject to the Commission’s authority pursuant to Section 205 of the FPA.”⁴¹ Several provisions of the tariff specified the terms and conditions of service by a utility member of the cooperative to an end-use large load customer (i.e., retail service). For example, Tri-State’s tariff purported to dictate the amount of energy that a large load customer must purchase at retail. FERC said that “no matter how direct, or dramatic’ a proposal’s impact on wholesale rates, the Commission still may not regulate retail electricity sales.”⁴² FERC should continue to respect the FPA’s jurisdictional divide in its final rule.

The Missouri PSC agrees with FERC’s determination in *PJM Interconnection, L.L.C.* that resolution of large load interconnection issues will “require the involvement of both federal and state actors,” and that the application of jurisdictional principles “will often depend heavily on the specific facts and circumstances presented in particular situations.”⁴³ A final rule should

³⁹ *Id.* at PP. 68-70.

⁴⁰ *Tri-State Generation and Transmission Association, Inc.*, FERC Docket No. ER25-3316. *Order Rejecting Proposed Tariff*, 193 FERC ¶ 61,070 (Oct. 2025).

⁴¹ *Id.* at P. 45.

⁴² *Id.* at P. 47.

⁴³ *PJM Interconnection L.L.C.*, PP. 66, 68.

provide the flexibility necessary to address the novel and rapidly evolving large load arrangements.

The Missouri PSC also agrees with the National Association of Regulatory Utility Commissioners (NARUC) that interconnecting large loads with insufficient generation capacity could threaten power service to existing retail customers.⁴⁴ The costs of large load interconnections, including infrastructure investments, could unfairly burden retail ratepayers if not properly allocated. States have the expertise and legal authority to balance large load development with customer protections, as demonstrated in Missouri's large load tariff proceedings. FERC's final rule should not undermine states' balancing efforts, disrupt orderly grid planning, or inadvertently lead to resource adequacy or affordability challenges.⁴⁵

The bright line drawn by the FPA between state and federal jurisdiction is particularly important for states like Missouri that have retained their vertically integrated structure. Public utilities in Missouri provide bundled electric service that includes generation, transmission and distribution. Missouri law provides that no electrical corporation may construct an electric plant with a capacity greater than one megawatt, or provide any service to retail customers, without first having obtained the permission and approval of the Missouri PSC.⁴⁶ The Missouri PSC regulates how utilities under its jurisdiction design resource plans to serve their customers under Missouri's Integrated Resource Plan (IRP) process.⁴⁷

FERC must narrowly tailor its final rule so as not to conflict with the vertically integrated structure maintained in Missouri and other states. A final rule cannot commandeer state authority over resource planning or the construction and siting of large loads and generation. FERC cannot

⁴⁴ NARUC Resolution EL-1, pg. 7.

⁴⁵ *Id.*

⁴⁶ Section 393.170, RSMo (2016, Supp. 2018).

⁴⁷ Section 393.1900 (Supp. 2025).

override states' own regulatory and economic development choices, or force state utility ratepayers to construct generation that is not planned for and approved under state IRP and certificate proceedings. As Missouri and other state commissions confront issues of affordability in both wholesale and retail electricity rates, FERC must ensure that costs under its jurisdiction are allocated in a just and reasonable manner, and that other customers do not unjustly subsidize the energy needs of large load customers.

4. A cooperative approach to load interconnection supports the FPA's core purpose.

As a fourth justification, the ANOPR asserts that any contrary view necessarily conflicts with the FPA's core purpose.⁴⁸ The ANOPR cites FERC's exclusive jurisdiction over interstate transmission services. But the preservation of state authority—and state and federal cooperation—are also core purposes of the FPA.

For example, the U.S. Supreme Court described FERC's approach to demand response, where wholesale and retail jurisdictions converge, to be a program of “cooperative federalism.”⁴⁹ The Court said FERC's solicitude to state jurisdiction “remove[d] any conceivable doubt as to its compliance with Section 824(b)'s allocation of federal and state authority.”⁵⁰ In its orders on the participation of battery storage and distributed energy resources in wholesale markets, FERC was careful to note that nothing in the regulations altered states' authority, “provided they do not aim directly at the RTO/ISO markets.”⁵¹ Even more recently, FERC modified its landmark

⁴⁸ ANOPR P. 15.

⁴⁹ *EPSA*, 577 U.S. at 288.

⁵⁰ *Id.*

⁵¹ *NARUC v. FERC*, 964 F.3d 1177, 1184 (D.C. Cir. 2020); See also *Participation of Distributed Energy Resource Aggregations in Markets Operated by Regional Transmission Organizations and Independent System Operators*, 172 FERC ¶ 61,247 (2020) P. 61: “As in Order No. 841, the reforms adopted in this final rule do not preclude or limit state or local regulation of: retail rates; distribution system planning, distribution system operations, or distribution system reliability; distributed energy resource facility siting; and interconnection of resources to the distribution system that are not subject to Commission jurisdiction.”

transmission planning Order No. 1920 to better accommodate state authority over the allocation of transmission costs, noting that deference to state jurisdiction where it is due can help accelerate the development transmission infrastructure.⁵² State and federal cooperation will similarly meet the Secretary's goal of expediting large load interconnection while protecting other customers.

The Secretary's abbreviated deadline of April 2026 for a final rule, combined with the novel legal and policy issues and rapidly evolving technology involved in large load interconnections, should warrant a cautious approach. FERC should consider adopting broad principles that allow for innovation and regional flexibility, rather than narrow prescriptions. FERC should avoid boxing in participants with overly restrictive rules that cannot adapt to new technologies.

C. Missouri PSC comments on the ANOPR's Principles for Reform

The Missouri PSC appreciates the ANOPR's directive that FERC jurisdiction should be limited to interconnections directly to the transmission system. FERC should use the seven-factor test to distinguish between transmission and distribution facilities.⁵³ The proposed 20 MW threshold⁵⁴ could be too low, potentially clogging the process with small entities, discouraging industrial expansion, and interfering with state retail tariffs. Load is not the same as generation, and any threshold should be based on evidence of different load profiles that would be subject to the rule.

⁵² *Building for the Future Through Electric Regional Transmission Planning and Cost Allocation*, 189 FERC ¶ 61,126 (2024), PP. 14, 659.

⁵³ ANOPR P. 18, citing *Cal. Pac. Elec. Co.*, 133 FERC ¶ 61,018 (2010) at P. 45.

⁵⁴ ANOPR P. 19.

The Missouri PSC supports efficient and comprehensive study procedures of hybrid facilities,⁵⁵ but emphasizes that hybrid facility arrangements must be structured to prevent harm to the local utility and other customers. Other customers should not bear the costs of co-located generation that becomes unnecessary if, for example, data centers become more efficient over time. The final rule should adopt strong requirements to deter speculative projects, fairly allocate costs and enhance transparency.⁵⁶ The Missouri PSC agrees that an existing generating facility that seeks to enter a partial suspension to serve a new load at the same location should go through an SSR/RMR type study.⁵⁷ Finally, a plan to implement the final rule must respect work already being done through other RTOs and state commissions.

V. Conclusion

The Missouri PSC agrees with the Secretary that the interconnection of large loads presents one of the most significant challenges to the electric system in recent history. This issue is both national in scope, and also deeply local. An effective and expeditious response must correspond to the jurisdictional framework of the Federal Power Act and conform to traditional state and federal roles in utility regulation. In developing its final rule, FERC should look to the states as partners, not obstacles. The Missouri PSC respectfully submits these initial comments.

⁵⁵ *Id.* P. 20, 22.

⁵⁶ *Id.* P. 21.

⁵⁷ *Id.* P. 27.

Respectfully submitted,

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Certificate of Service

Pursuant to Rule 2010 of the Commission's Rules of Practice and Procedure, I hereby certify that I have this day served a copy of the foregoing document on all persons designated on the official service list compiled by the Secretary of the Commission in this proceeding by electronic service dated on this 21st day of November, 2025.

/s/ John D. Borgmeyer